

breaking news, or headlines, then what you have is not a plan—you have an instinctual, fear-driven reaction, and that’s the makings of a disaster.

Do take notice of the panic around you

Watch the reactions—and overreactions—of the guests on financial television. How emotional and strident are they? Are their voices up an octave? Can you see them sweating? There was a time during the GFC when I could tell how much the market was down that day merely by listening to CNBC anchor Maria Bartiromo’s voice. There is a feedback loop from markets to TV anchors and back—see if you can spot it. Just don’t let yourself become affected by it.

Don’t try to time the markets

You lack the skill, the discipline, and the ability. Even if you get lucky, it’s just that—dumb luck—and that serendipity is likely to encourage you to engage in even more reckless and foolish behavior in the future.³⁴⁷ The odds of you jumping out on time and getting back in are stacked against you. Add in taxes and other costs, and it becomes a fool’s errand.

Do look for signs of capitulation (or surrender)

Market bottoms are made when a critical mass of investors folds, throws in their cards, and panic sells. See if you can spot the moment when everyone finally cries “Uncle.”

Don’t confuse the short term for the long term

The day-to-day action is noise unless you are an active trader doing this for a living. You will lose money treating investments like trades and vice versa.